

# Final PMIs confirm services are bearing the brunt of the Iran shock

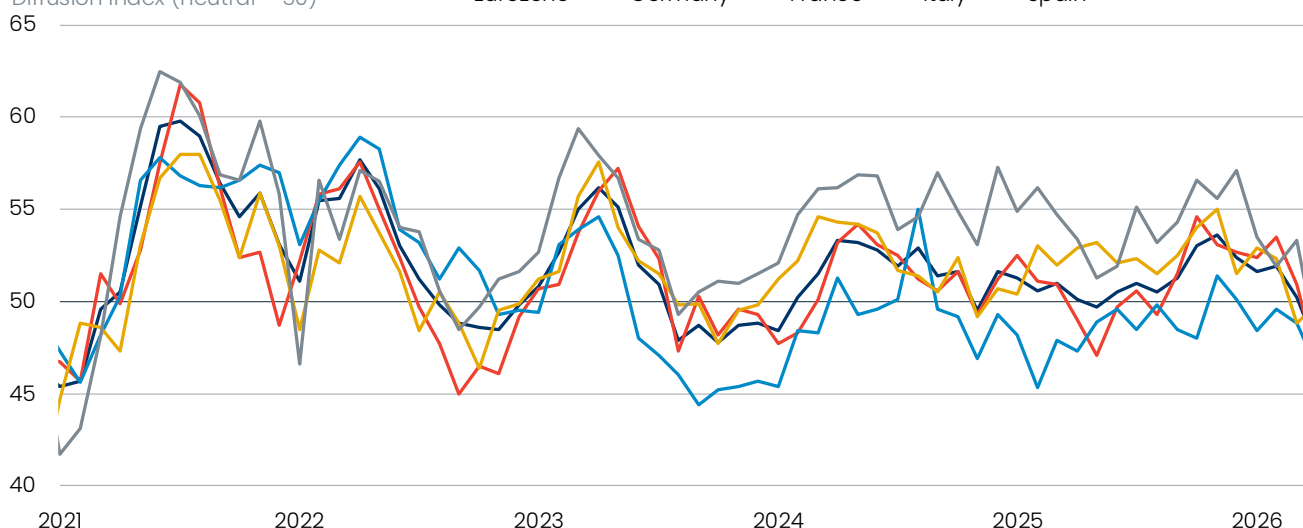
- The April Eurozone composite PMI was marginally revised up, but at 48.8, it remains at its lowest reading since late 2024. The fall is entirely driven by the services sector, while manufacturing is showing more resilience. Despite the decline, the PMI remains consistent with our forecast of weak but positive growth in Q2, although risks are clearly tilted to the downside as long as the Iran conflict remains unresolved.
- New PMI data from Italy and Spain show that Spain suffered the sharpest fall in services activity among the major European economies, raising downside risks to our Q2 growth forecast. Italy, by contrast, proved surprisingly resilient, with a rebound from March, albeit from a low level.

The Eurozone composite PMI was little changed from [the flash reading](#) in April, printing at 48.8, a sharp decline from 50.7 in March and its lowest level since December 2024. The final numbers confirm that services are taking a major hit from reduced household purchasing power due to higher fuel prices. Meanwhile, manufacturing is, at least for now, proving more resilient, as firms likely rush to secure purchases and restock inventories ahead of price increases or possible shortages. The survey details also confirm the stagflationary nature of the shock facing the Eurozone, as firms passed sharply rising input prices on to consumers, resulting in output prices rising at the fastest pace in three years, while output expectations fell.

**Chart 1: Services activity fell sharply in all major Eurozone countries but Italy in April**

## Eurozone: Services PMI by country

Diffusion index (neutral = 50)



Sources: Oxford Economics, S&P Global

New data from Spain show that the services PMI plunged to 47.9, a drop of more than 5pts from 53.3 in March, bringing the index to its lowest level since the start of the Ukraine conflict in 2022. We have argued that diverted tourist flows from the Middle East could provide some support to tourism-heavy Southern European economies

such as Spain and soften the direct impact of the conflict. But there was little sign of that in today's data, with Spain seeing a sharper decline in services activity than the other major European economies. We had already expected Spanish growth to slow moderately in Q2, but today's poor reading raises downside risks to our still-solid growth forecast.

Italy's services sector displayed more resilience, posting a surprise 1pt improvement from March. That said, at 49.8, it remains in contractionary territory and is faring much worse than manufacturing. The resilience of Italy's services sector, the only major Eurozone country to see an improvement compared with March, is particularly surprising considering that the country is, on paper, more exposed to the Iran shock than others, given its high reliance on gas in its power mix.